VERTIV®

Long: Vertiv Holdings Co. (VRT)
Implied Upside: 124.3%

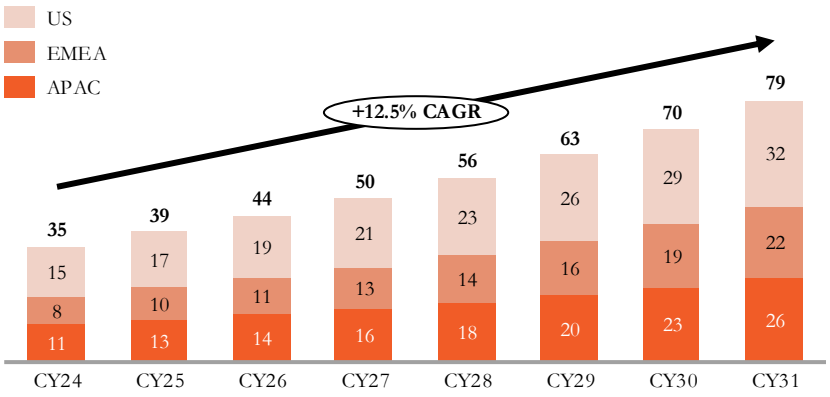
Industry Overview

The **data center infrastructure** industry consists of companies that **design** and **supply** systems required to operate data centers.

Core Products

- Uninterrupted Power Supply
- Thermal Cooling
- Prefabricated Systems
- IT Infrastructure

Total Addressable Market ($B)



Key Competitors

Tier 1

EATON

Schneider Electric

Johnson Controls

Other

ABB

socomec

SIEMENS

BUT Vertiv is the only **pure-play** infrastructure provider.

Tailwinds & Headwinds

AI Expansion	Explosion of AI workloads is forcing data centers to have **higher power density**.
Cloud Computing	Cloud providers **continue expanding** global infrastructure, driving **billions** in data center investment.
Grid Constraints	Utility can't provide **enough electricity**, limiting construction of **new data centers**.
Environment Pressure	Data centers are facing **increased scrutiny** over energy consumption and water use.

Vertiv

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Vertiv Holdings Co provides power and cooling infrastructure that keeps data centers running

Vertiv Holdings Co, founded in 2016 after being spun out of Emerson Electric, provides **power, cooling, and infrastructure systems** for data centers and other critical digital facilities. Its solutions help ensure **reliable uptime for servers and networking equipment** by managing electricity, heat, and system performance. Vertiv supports the buildout and operation of modern data centers through integrated hardware, services, and monitoring software that keep high-performance computing environments running efficiently.

Three Core Product Categories

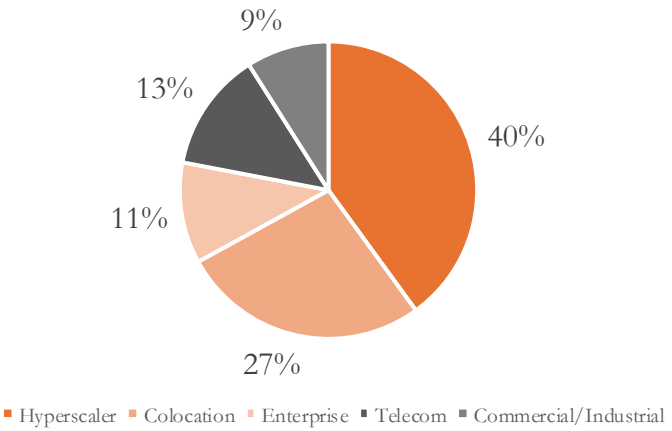
1. **Power Infrastructure:** UPS Systems, Switchgear and Power Distribution Units (PDUs), DC power systems
2. **Thermal Management:** Liquid cooling systems, Precision Air Conditioning, Heat rejection systems
3. **Services:** Maintenance and lifecycle services, monitoring, and remote management, equipment upgrades

End Markets

aws
Azure
AT&T
NASA
EQUINIX

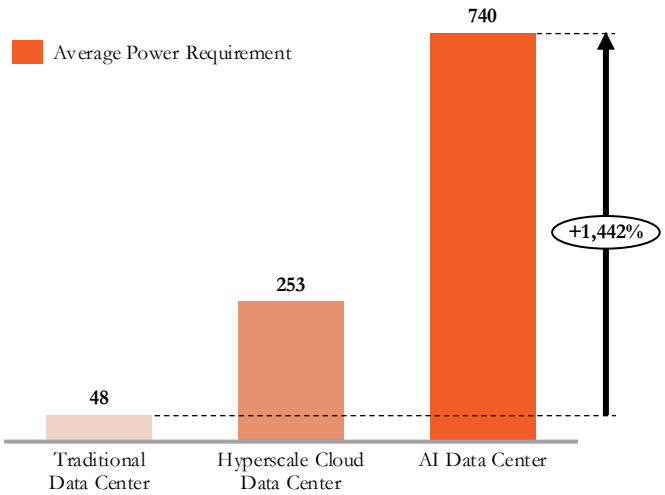
Revenue Segments

Vertiv's revenue grew from **$5.7B in 2022 to $6.9B in 2023 (+21% YoY) and $8.0B in 2024**, driven by strong demand for power and cooling infrastructure supporting hyperscale and AI data center expansion.



Vertiv is evolving from just selling equipment

AI data centers require **massive electricity**, but existing grids cannot power **fast enough** AND infrastructure is **very expensive**.



$64B of U.S. data center projects are **blocked** or **delayed**, magnified by **$10B+** of campus cost per hyperscale data center.

Data center parts (UPS, cooling, power) are historically sold **individually**, forcing data centers to **integrate themselves**---that spikes **complexity**.

Vertiv's solution: Instead of the grid, **we'll bring your own power and cooling**.

Two partnerships magnify the thesis: **Caterpillar** AND **Generate Capital**.

Caterpillar

Supplies **natural gas turbines** that generate electricity **on-site** instead of waiting for grid connection.

Generate Capital

Provides **financing** and **asset ownership**, allowing operators to avoid large **upfront costs** like maintenance.

Result: Operators can deploy AI data centers **months faster**, while reducing **grid dependency** and **upfront capital expenditures**.

That IaaS shift creates a **structural, mutually reinforcing** moat.

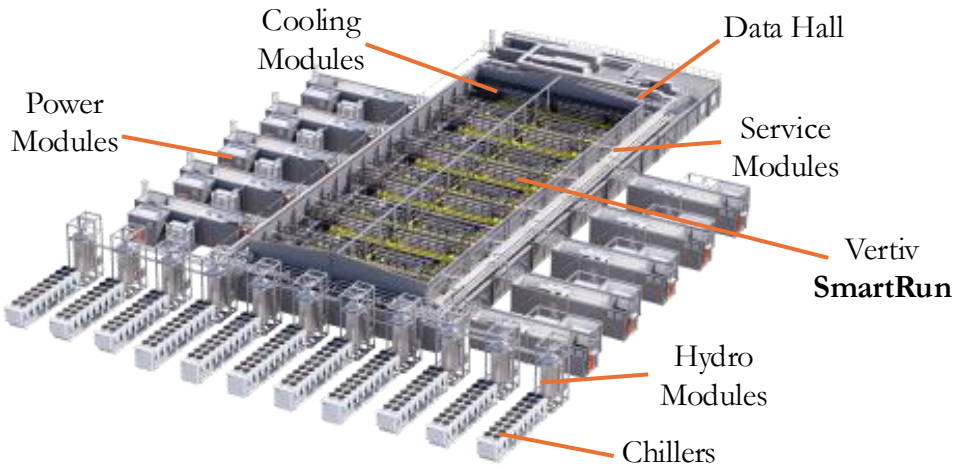
1. Data centers pay **fixed fees** for the integrated system, making revenue **contracted** and **recurring**.

2. Vertiv owns **no assets**, zeroing balance sheet risk while Caterpillar supplies gas at **no cost** to Vertiv.

3. The fully integrated system forces **high switching costs**. Switching temporarily **shuts down** the center.

Vertiv is evolving from just selling equipment

Further, Vertiv's pre-fabricated **OneCore** system makes the fully integrated data center ecosystem **rapidly deployable** AND **physical**.



(1) **Power**. Trienergy UPS, switchgear, busways
(2) **Cooling**. CoolChip CDU, liquid cooling, chillers
(3) **IT**. SmartRun provides overhead power, networking, and rack rows
(4) **Controls**. A unified platform monitors and optimizes power and cooling

Surplus power is **sold back to the grid**, which improves economics AND enables overbuilding for reliability concerns.

However, the market **still treats** Vertiv as a **data equipment supplier**, ignoring the structural **infrastructure-as-a-service shift**.

(1) **Service revenue is misclassified**. As a legacy data center equipment supplier, VRT's revenue is characterized as **one-time** equipment sales, making earnings **cyclical** and **CapEx** dependent.

(2) **Asset-light model is being ignored**. Investors assume growth requires **heavy CapEx** and **balance sheet deployment**.

(3) **Hardware obsession**. Analysts are tracking **huge backlog growth** and **unit orders**, not the **stickiness** of embedded infrastructure.

(4) **Visibility**. The BYOP&C model is **barely understood** and **small** compared to current revenue, while main partnerships are **yet to be modeled** by analysts.

"Vertiv remains vulnerable to EBITDA and cash flow volatility… We believe the data center end market may be affected by capital investment cycles."

~ S&P Global

"Vertiv Holdings faces near-term challenges as sluggish buying of data-center equipment hurts demand for its cooling systems."

~ TD Cowen and Barclays Analysts

Vertiv is evolving from just selling equipment

VERTIV.

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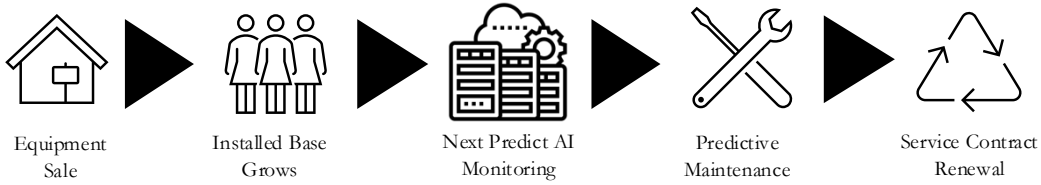
Recurring Revenue Generation & Predictive AI Maintenance

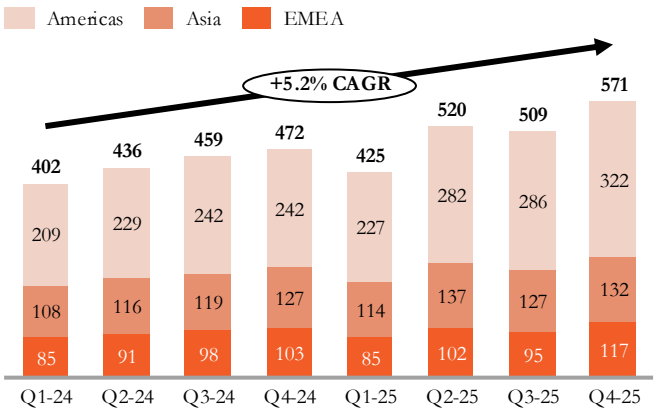
VERTIV

Vertiv doesn't just create one-time customers, they establish **recurring revenue** streams with their **installed base**

Vertiv is expanding its installed base, which will generate recurring high-margin revenue for years, making the company more profitable and stable

VRT: Every deployment expands the installed base and long-term opportunities





Services and spares revenue reached $2B in FY2025, growing 17% in just Q3 2025, market still treats them as an equipment supplier

Service gross margins have a **~1,100 bps advantage** over product margins

Two Missing Market Dynamics: AI Monetization & Cash Flow Inflection

Next Predict

Vertiv's AI-driven predictive maintenance platform analyzes behavior turn risk into data-backed service contracts across power, cooling, and IT

STANDARD & POOR'S

Grade Upgrade

Big 3 agencies upgraded Vertiv to BBB-/Baa3, validating the recurring revenue and reducing cyclicality (new bonds)

Result: As the installed base compounds and service penetration increases, margins and revenue grows, explaining multiple concerns

That installed base flywheel build a structural & compounding service moat

1. Vertiv earns ~95% FCF conversion on $1.5B FCF guidance, cash flows are predictable with service

2. Next Predict is being factored in like a capex play, whereas it's really driving subscription-style revenue and building potential switching costs

3. Investment grade ratings get cheaper, longer-term debt and net leverage fell from **1.9x to 0.5x** (Q3 2025) as a result

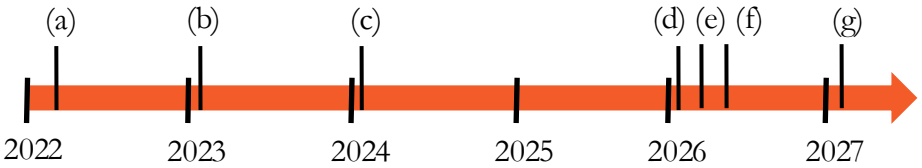
Europe's 2022 Energy Crisis vs. Rising AI Power Demand

VERTIV.

Why Europe?

Europe represents a natural expansion frontier for American hyperscalers, underpinned by a combined GDP of $22.5 trillion that is comparable in scale to the US. Beyond economics, the demand for local capacity is driven by the need for in-region AI infrastructure used to maintain low-latency across global networks. Despite recent investor worries over slow revenue growth in(~1% YoY), these fundamental requirements ensure a steady, long-term floor for infrastructure demand that cannot be offshored or bypassed.

Situation Timeline



(a) Start of Ukrainian War and subsequent energy crisis (10x energy price spikes)
(b) EU mandates PUE/water checks to limit electricity use due to 2–4x energy surge required for AI workloads
(c) Germany announces 5GW cap while Ireland and Netherlands suspend AI infrastructure construction
(d) EIA reform in Germany
(e) EU's Energy Efficiency Package
(f) France grants liquid cooling reduction credits and lifts construction bans
(g) The Cloud/AI Development Act

Variant View

Energy

- EU Energy Efficiency Package signals AI infrastructure restart with permits capped at 30-90 days for compliant builds
- Cloud/AI Development Act: is under review (~85-90% approval odds by early 2027), accelerating Vertiv's high-density projects via state aid and tripled capacity targets

Hyperscalers

- Microsoft's $30B AI UK Spending Pledge signals strong hyperscaler interest despite energy crisis challenges
- NVIDIA's $1B Munich partnership with Deutsche Telekom highlights commitment to European data center expansion
- Persistent mega-cap commitment anchors Europe's data center demand amid infrastructure gaps, bolstering Vertiv's growth visibility and pricing power

Energy Crisis Context

- Germany's EIA reform cuts scoping from >1 years to a fixed 30 day period along with auto-approval for <100MW renewable projects, unblocking €2B+ in queued orders in Frankfurt alone
- France's January 2026 revised water laws also give Vertiv liquid cooling segment 50% reduction credits and lifts Paris bans on 300MW infrastructure projects
- Nordic countries are increasingly attracting hyperscalers with low renewable electricity prices, shifting AI infrastructure away from core FLAP-D markets

MEA Landscape Improvements

Africa's data center capacity is projected to surge from 0.4GW to 2.2GW by 2030, unlocking $10-20B in investments and $20-30B in revenue across key African cities across the continent like Nairobi, Cairo, and Lagos.

Despite uneven regional growth, Africa's critical need for tailored power reliability fuels a $16.5B AI market projection by 2030 (27% CAGR), where Vertiv's early wins like its Morocco Rabat position it as the incumbent leader for cooling and power management solutions.

Johannesburg's 120 MW Teraco facility bypasses grid limitations by leveraging localized power sovereignty, reflecting Vertiv's grid-independent energy infrastructure.

What is the market not seeing?

The market is missing Vertiv's structural advantage in mastering grid-independent power systems, which gives it an edge in regions with unstable energy reliability. Its integration with renewable sources in Africa and the GCC turns power management into a long-term barrier to entry with high switching costs for AI data centers, not just a product differentiator.

This is occurring as major hyperscalers like AWS ($5.3B) in Saudi Arabia and Microsoft ($7.9B) in the UAE are expanding infrastructure to bridge European and Asian data networks.

Unmatched advantages like 90-day permitting (versus Europe's 18-24 months), ultra-low power costs of $0.05-0.06/kWh, and sovereign renewables sourced from Aramco and UAE optimize Vertiv's cooling solutions for extreme climates and AI workloads.

The Gulf Cooperation Council (GCC) is seeing a massive AI capex surge, highlighted by the UAE's $10B Stargate project alongside long-term programs like the $100B PIF Transcendence AI Initiative, more than tripling regional capacity to 3.3GW within five years.

Operating Model

VERTIV

Vertiv Holdings (NYSE: VRT) (Long)

Operating Model

Consensus

	365	365	91	91	92	92	366	90	91	92	92	365	90	91	92	92	365	365	366	365	365	365
Date ended	12/31/22	12/31/23	03/31/24	06/30/24	09/30/24	12/31/24	12/31/24	03/31/25	06/30/25	09/30/25	12/31/25	12/31/25	03/31/26	06/30/26	09/30/26	12/31/26	12/31/26	12/31/27	12/31/28	12/31/29	12/31/30	12/31/31
All quantities in millions USD	FY 2022	FY 2023	Q1 2024	Q2 2024	Q3 2024	Q4 2024	FY 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	FY 2025	Q1 2026	Q2 2026	Q3 2026	Q4 2026	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031
Revenue																						
Prior period Products net sales	1,482.3	1,974.3	473.9	711.5	797.0	798.8	2,782.2	892.3	957.2	1,014.2	1,180.2	4,043.9	958.7	1,121.5	1,427.3	1,565.2	5,071.6	7,246.3	8,695.7	10,000.3	11,500.4	13,225.7
Y/Y organic net sales growth	174.4	1,040.1	43.6	146.5	171.5	229.0	589.6	246.0	435.1	473.1	519.5	1,673.8	278.0	432.9	458.7	500.9	1,670.5	1,449.3	1,304.4	1,500.0	1,725.1	1,983.8
% growth	21.8%	52.8%	6.2%	18.5%	21.5%	28.7%	19.5%	24.3%	45.4%	49.2%	51.2%	41.4%	29.0%	32.0%	32.0%	32.0%	32.9%	20.0%	15.0%	15.0%	15.0%	15.0%
Y/Y acquisition/divestiture net sales growth	122.1	–	–	–	–	–	–	–	–	–	29.3	40.1	95.9	105.7	114.2	–	315.8	–	–	–	–	–
% growth	8.2%	–	–	–	–	–	–	–	–	–	2.9%	1.1%	10.0%	8.0%	8.0%	–	6.0%	–	–	–	–	–
Y/Y FX impact	(5.9)	5.1	(0.4)	(5.9)	(11.5)	(13.9)	(31.7)	(2.8)	(2.4)	(5.5)	3.7	(6.9)	–	–	–	–	–	–	–	–	–	–
% growth	(0.3%)	0.3%	(0.1%)	(0.8%)	(1.4%)	(1.7%)	(1.0%)	(0.5%)	(0.3%)	(0.5%)	0.3%	(0.2%)	–	–	–	–	–	–	–	–	–	–
Product net sales	1,574.3	3,022.1	716.2	852.3	957.2	1,014.2	3,580.2	958.7	1,021.5	1,027.3	1,165.2	4,171.8	1,333.0	1,850.5	1,998.6	2,066.4	7,248.3	8,695.7	10,000.2	11,500.4	13,225.7	15,209.7
Prior period Services & spares net sales	705.1	754.7	188.4	207.9	206.2	220.8	823.3	209.0	229.1	241.8	242.1	921.8	227.2	281.8	280.1	323.3	1,116.7	1,551.9	1,862.3	2,142.0	2,463.5	2,833.2
Y/Y organic net sales growth	50.8	49.7	18.6	18.3	34.6	23.2	94.7	10.1	59.4	43.8	43.2	156.5	65.9	90.2	91.6	103.7	350.8	310.4	279.4	321.3	369.5	425.0
% growth	7.2%	8.7%	9.9%	8.8%	16.8%	10.5%	11.5%	9.6%	23.4%	18.1%	17.8%	17.0%	29.0%	32.0%	32.0%	32.0%	31.4%	20.0%	15.0%	15.0%	15.0%	15.0%
Y/Y acquisition/divestiture net sales growth	–	–	–	–	–	–	–	–	–	–	16.6	16.6	27.3	28.2	28.6	–	84.1	–	–	–	–	–
% growth	–	–	–	–	–	–	–	–	–	–	6.8%	1.8%	12.0%	10.0%	10.0%	–	7.5%	–	–	–	–	–
Y/Y FX impact	(1.3)	3.0	1.9	2.8	0.8	(2.0)	3.5	(2.0)	(1.1)	0.4	2.3	(0.4)	–	–	–	–	–	–	–	–	–	–
% growth	(0.2%)	0.4%	1.0%	1.3%	0.4%	(0.9%)	0.4%	(1.0%)	(0.5%)	0.2%	1.0%	(0.0%)	–	–	–	–	–	–	–	–	–	–
Services & spares net sales	704.7	803.3	209.0	239.1	241.8	242.1	931.8	237.2	281.8	286.1	322.3	1,126.7	320.0	400.6	406.8	425.8	1,553.9	1,862.3	2,142.0	2,463.5	2,833.2	3,258.3
Americas net sales	2,279.0	3,845.5	925.2	1,121.4	1,199.0	1,256.3	4,501.9	1,185.9	1,603.3	1,713.5	1,887.6	6,388.3	1,653.7	2,251.1	2,405.4	2,492.2	8,798.2	10,558.2	12,142.3	13,963.9	16,058.8	18,467.0
Y/Y growth (%)		40.9%					17.1%	28.2%	43.0%	42.9%	32.2%	41.9%	39.5%	40.4%	40.4%	32.0%	37.7%	20.0%	15.0%	15.0%	15.0%	15.0%
Q/Q growth (%)				21.2%	6.9%	4.8%		(5.6%)	35.2%	6.9%	10.2%		(12.4%)	36.1%	6.9%	3.6%						
Americas EBIT	238.2	762.4	187.8	285.1	303.4	321.5	1,097.8	259.7	384.6	501.8	568.2	1,714.3	499.5	682.1	731.3	760.2	2,673.1	3,218.4	3,713.4	4,284.4	4,943.2	5,703.3
Americas EBIT margin (%)	8.7%	19.8%	20.3%	25.4%	25.3%	25.6%	24.4%	21.9%	24.0%	29.3%	30.1%	26.8%	30.2%	30.3%	30.4%	30.5%	30.4%	30.5%	30.6%	30.7%	30.8%	30.9%
Y/Y bps increase/(decrease)		1,110				456	456	160	(144)	398	451	245	830	631	112	60	355	10	10	10	10	10
Q/Q bps increase/(decrease)				512	(12)	29		(349)	209	530	82		10	10	10	10						
Asia																						
Prior period Products net sales	1,187.5	1,159.6	208.9	281.7	281.5	318.0	1,090.1	224.1	293.2	314.0	417.8	1,248.7	336.4	424.5	393.0	360.6	1,511.3	1,797.3	2,156.9	2,437.4	2,754.4	3,112.6
Y/Y organic net sales growth	30.1	(14.3)	21.2	14.3	25.0	101.3	161.8	113.6	130.0	82.4	(32.2)	160.8	50.2	84.9	78.6	72.1	281.8	318.5	280.4	316.9	358.1	404.6
% growth	2.6%	(1.2%)	10.1%	5.0%	8.8%	31.9%	14.7%	50.7%	44.3%	26.2%	(13.5%)	21.6%	15.0%	20.0%	20.0%	20.0%	18.9%	20.0%	13.0%	13.0%	13.0%	13.0%
Y/Y acquisition/divestiture net sales growth	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
% growth	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
Y/Y FX impact	(58.2)	(47.2)	(8.1)	(6.9)	3.4	(1.8)	(13.4)	(3.8)	0.9	(3.6)	(0.9)	(7.4)	–	–	–	–	–	–	–	–	–	–
% growth	(4.9%)	(4.1%)	(2.0%)	(2.4%)	1.2%	(0.6%)	(1.0%)	(1.7%)	0.3%	(1.1%)	(0.2%)	(0.6%)	–	–	–	–	–	–	–	–	–	–
Product net sales	1,159.4	1,098.1	230.1	290.2	316.0	417.8	1,248.7	334.4	424.1	393.0	380.6	1,511.3	386.7	509.4	471.8	432.8	1,797.3	2,156.9	2,437.4	2,754.4	3,112.6	3,517.4
Prior period Services & spares net sales	421.5	441.8	104.1	110.1	105.1	112.4	429.8	108.4	116.1	118.7	126.6	469.5	115.5	136.5	127.3	131.8	508.6	604.9	726.1	820.7	927.5	1,048.2
Y/Y organic net sales growth	41.8	7.0	7.4	8.1	15.5	15.3	46.3	7.3	10.5	9.6	5.7	43.1	17.0	27.3	25.5	26.4	96.1	121.0	94.4	106.7	120.6	136.3
% growth	9.9%	1.6%	7.1%	7.4%	15.0%	13.6%	10.8%	6.7%	17.7%	8.1%	4.5%	9.2%	15.0%	20.0%	20.0%	20.0%	18.9%	20.0%	13.0%	13.0%	13.0%	13.0%
Y/Y acquisition/divestiture net sales growth	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
% growth	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
Y/Y FX impact	(21.6)	(19.0)	(2.2)	(2.2)	(0.1)	(1.2)	(6.7)	(2.2)	(0.3)	(1.0)	(0.6)	(4.1)	–	–	–	–	–	–	–	–	–	–
% growth	(5.1%)	(4.3%)	(1.1%)	(1.0%)	(0.1%)	(1.1%)	(1.6%)	(2.0%)	(0.3%)	(0.8%)	(0.5%)	(0.9%)	–	–	–	–	–	–	–	–	–	–
Services & spares net sales	441.8	429.8	108.4	116.1	118.7	126.6	469.5	113.5	136.5	127.3	131.8	508.6	130.7	163.9	153.0	158.3	604.9	726.1	820.7	927.5	1,048.2	1,184.6
Asia net sales	1,601.4	1,527.9	332.5	406.3	432.6	544.5	1,718.2	447.9	560.6	520.4	492.4	2,019.9	515.4	673.5	624.9	591.2	2,402.2	2,883.0	3,258.1	3,681.9	4,160.8	4,702.0
Y/Y growth (%)		(4.6%)					12.5%	34.7%	37.1%	20.3%	(9.6%)	17.6%	15.1%	20.2%	11.5%	13.6%	18.9%	20.0%	13.0%	13.0%	13.0%	13.0%
Q/Q growth (%)				22.1%	6.5%	25.8%		(17.7%)	25.2%	(7.2%)	(5.4%)		4.7%	30.7%	(7.2%)	(5.4%)						
Asia EBIT	176.9	147.4	30.4	32.3	44.1	68.4	175.2	45.7	59.2	68.5	48.7	222.1	51.5	68.0	63.7	60.8	244.0	295.7	337.4	385.0	439.3	501.1
Asia EBIT margin (%)	11.0%	9.6%	9.1%	7.9%	10.2%	12.6%	10.2%	10.2%	10.6%	13.2%	9.9%	11.0%	10.0%	10.1%	10.2%	10.3%	10.2%	10.3%	10.4%	10.5%	10.6%	10.7%
Q/Q bps increase/(decrease)		(140)				55	104	266	297	(267)	80	(21)	(46)	(297)	40	(84)	10	10	10	10	10	10
Y/Y bps increase/(decrease)				(115)	230	237		(234)	35	261	(327)		10	10	10	10						
EMEA																						
Prior period Products net sales	980.6	1,077.7	267.7	292.7	266.8	324.7	1,152.3	297.4	332.2	345.0	443.9	1,418.2	319.2	374.3	348.5	384.8	1,426.6	1,795.8	2,209.1	2,385.9	2,576.8	2,783.0
Y/Y organic net sales growth	134.5	61.1	24.9	43.2	70.3	123.0	264.3	25.0	22.8	(10.4)	(80.7)	(43.3)	38.3	74.9	97.6	115.4	326.2	359.2	310.5	119.3	128.8	139.1
% growth	15.1%	5.7%	9.3%	14.8%	27.1%	38.2%	22.9%	8.4%	6.9%	(3.0%)	(18.2%)	(3.1%)	12.0%	20.0%	28.0%	30.0%	22.9%	20.0%	14.0%	5.0%	5.0%	5.0%
Y/Y acquisition/divestiture net sales growth	178.9	–	–	–	–	–	–	–	–	–	0.9	0.9	–	–	–	–	–	–	–	–	–	–
% growth	20.1%	–	–	–	–	–	–	–	–	–	0.2%	0.1%	–	–	–	–	–	–	–	–	–	–
Y/Y FX impact	(125.7)	13.5	4.7	(3.8)	5.6	(5.1)	1.4	(3.3)	(9.2)	14.0	10.9	16.4	9.6	11.2	10.5	11.5	42.8	13.9	66.3	71.6	77.3	83.5
% growth	(14.1%)	1.2%	1.8%	(1.1%)	2.1%	(1.6%)	0.1%	(1.1%)	5.8%	4.1%	4.7%	2.6%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%
Product net sales	1,077.7	1,152.3	297.4	332.2	345.0	443.9	1,418.2	319.2	374.3	348.5	384.8	1,426.6	367.2	460.6	456.9	512.1	1,795.8	2,209.1	2,385.9	2,576.8	2,783.0	3,005.7
Prior period Services & spares net sales	312.1	284.3	78.1	86.2	84.0	90.7	339.2	84.6	90.6	98.0	103.1	376.2	84.0	101.7	95.4	117.3	398.8	506.9	628.8	685.4	747.2	814.5
Y/Y organic net sales growth	30.6	53.8	8.9	7.9	16.2	12.5	45.3	2.3	4.7	(7.3)	3.5	3.5	20.3	20.3	20.3	32.8	92.0	101.4	31.4	34.3	37.4	40.7
% growth	9.8%	18.9%	11.4%	9.2%	19.3%	13.8%	13.4%	2.7%	5.4%	(7.4%)	3.4%	1.4%	12.0%	20.0%	20.0%	28.0%	23.1%	20.0%	5.0%	5.0%	5.0%	5.0%
Y/Y acquisition/divestiture net sales growth	(18.4)	–	–	–	–	–	–	–	–	–	0.8	0.8	–	–	–	–	–	–	–	–	–	–
% growth	(5.9%)	–	–	–	–	–	–	–	–	–	0.8%	0.2%	–	–	–	–	–	–	–	–	–	–
Y/Y FX impact	(40.0)	0.9	(2.3)	(2.4)	(2.4)	(0.2)	(9.7)	(2.3)	4.1	4.8	4.9	11.6	3.4	4.1	3.8	4.7	16.0	20.5	25.2	27.4	29.9	32.6
% growth	(12.8%)	0.3%	(3.2%)	(4.2%)	(2.9%)	(0.2%)	(2.6%)	(2.7%)	4.7%	4.9%	5.5%	4.4%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%
Services & spares net sales	284.1	339.2	84.6	90.6	98.0	103.1	376.2	84.6	101.7	95.4	117.3	398.8	98.3	126.1	118.2	155.1	506.9	628.8	685.4	747.2	814.5	887.8
EMEA net sales	1,362.0	1,491.5	382.0	422.8	443.0	547.0	1,794.4	403.8	476.0	444.0	502.1	1,825.4	465.5	586.9	585.0	667.2	2,302.8	2,837.9	3,071.3	3,323.9	3,597.4	3,893.5
Y/Y growth (%)		9.5%					20.3%	5.7%	12.6%	0.2%	(8.2%)	1.7%	15.3%	23.3%	21.8%	32.3%	26.2%	23.2%	8.2%	8.2%	8.2%	8.2%
Q/Q growth (%)				10.7%	4.8%	23.5%		(26.2%)	17.9%	(6.7%)	13.1%		(7.3%)	26.1%	(0.3%)	14.0%						
EMEA EBIT	156.4	297.7	70.3	106.5	114.4	145.2	436.4	78.7	104.2	83.5	111.0	377.4	102.4	130.9	131.1	150.2	515.6	638.2	693.8	754.2	819.8	891.2
EMEA EBIT margin (%)	11.5%	20.0%	18.4%	25.3%	25.8%	26.5%	24.3%	19.5%	21.9%	18.8%	22.1%	20.7%	22.0%	22.3%	22.4%	22.5%	22.4%	22.5%	22.6%	22.7%	22.8%	22.9%
Q/Q bps increase/(decrease)		846				651	198	(680)	(250)	(444)	(381)	272	42	260	40	171	10	10	10	10	10	10
Y/Y bps increase/(decrease)				749	(7)	72		(555)	240	(608)	330		10	10	10	10						
Income Statement																						

Income Statement																						
Net Revenue	5,692.4	8,865.0	2,639.6	3,353.4	3,074.6	3,347.8	8,014.5	2,037.7	2,640.2	2,677.8	2,882.0	10,233.6	2,634.7	3,511.5	3,615.3	3,750.6	13,510.2	16,270.2	18,671.7	20,969.8	23,817.1	27,063.4
Segment EBIT	571.7	1,207.5	288.5	426.9	461.9	535.1	1,712.4	384.1	548.0	655.0	727.9	2,315.8	654.3	883.0	926.1	971.2	3,435.0	4,155.3	4,744.6	5,423.6	6,202.3	7,095.5
(+) FX gain/(loss)	(3.7)	(14.0)	(3.2)	(0.1)	(5.3)	(0.6)	(9.3)	(2.6)	(1.3)	(0.9)	(6.1)	(12.0)	(2.6)	(3.5)	(3.6)	(3.8)	(13.5)	(16.3)	(18.5)	(21.0)	(23.8)	(27.1)
% net revenue	(0.1%)	(0.2%)	(0.2%)	(0.0%)	(0.3%)	(0.0%)	(0.1%)	(0.1%)	(0.1%)	(0.0%)	(0.2%)	(0.1%)	(0.1%)	(0.1%)	(0.1%)	(0.1%)	(0.1%)	(0.1%)	(0.1%)	(0.1%)	(0.1%)	(0.1%)
(+) Corporate and other EBIT	(128.8)	(138.0)	(36.7)	(44.9)	(39.7)	(30.2)	(151.5)	(44.8)	(56.4)	(88.0)	(82.5)	(271.7)	(65.6)	(87.8)	(90.4)	(93.8)	(337.8)	(325.6)	(368.4)	(419.4)	(476.3)	(541.3)
% net revenue	(2.3%)	(2.0%)	(2.2%)	(2.3%)	(1.3%)	(0.9%)	(1.9%)	(2.2%)	(2.1%)	(3.3%)	(2.9%)	(2.7%)	(2.5%)	(2.5%)	(2.5%)	(2.5%)	(2.5%)	(2.0%)	(2.0%)	(2.0%)	(2.0%)	(2.0%)
(-) Amortization of intangibles	215.8	181.3	46.0	45.8	45.3	47.1	184.2	46.0	46.9	48.2	59.3	200.4	52.7	70.2	72.3	75.0	270.2	325.6	369.4	419.4	476.3	541.3
% net revenue	3.8%	2.0%	2.8%	2.3%	2.2%	2.0%	2.3%	2.3%	1.8%	1.8%	2.1%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%	2.0%
EBIT	223.4	872.2	202.6	336.6	371.6	457.2	1,367.4	290.7	442.6	516.7	579.9	1,829.7	533.1	719.5	759.8	798.7	2,811.1	3,488.8	3,987.2	4,583.8	5,235.8	5,985.9
EBIT margin (%)	3.9%	12.7%	12.4%	17.2%	17.9%	19.5%	17.1%	14.3%	16.8%	19.3%	20.1%	17.9%	20.2%	20.5%	21.0%	21.3%	20.8%	21.4%	21.6%	21.8%	21.9%	22.1%
(+) Amortization of intangibles	215.8	181.3	46.0	45.8	45.3	47.1	184.2	46.0	46.9	48.2	59.3	200.4	52.7	70.2	72.3	75.0	270.2	325.6	369.4	419.4	476.3	541.3
(+) D&A	30.6	89.7	22.7	22.6	23.6	23.9	92.8	25.6	26.4	27.2	29.0	108.2	26.3	35.1	36.2	37.5	135.1	162.8	184.7	209.7	238.2	270.6
% net revenue	1.5%	1.2%	1.4%	1.2%	1.1%	1.0%	1.2%	1.1%	1.0%	1.0%	1.0%	1.1%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
EBITDA	525.8	1,143.2	271.3	404.4	440.5	528.2	1,644.4	362.3	515.7	592.1	668.2	2,138.3	612.2	824.8	868.2	911.2	3,216.4	3,976.2	4,541.4	5,192.9	5,948.3	6,797.8
(-) Interest expense	147.3	180.1	39.0	44.8	35.9	30.7	150.4	25.3	21.3	22.8	16.7	86.1	19.8	26.3	27.1	28.1	101.3	122.1	138.5	157.3	178.6	203.0
% net revenue	2.6%	2.0%	1.4%	1.3%	1.2%	0.9%	0.9%	0.6%	0.8%	0.8%	0.6%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%	0.8%
(-) Other items	(50.3)	159.1	180.4	22.1	72.1	185.6	480.2	5.5	11.7	33.2	20.6	69.0	–	–	–	–	–	–	–	–	–	–
% net revenue	(1.6%)	2.0%	11.0%	1.1%	3.5%	7.9%	5.7%	0.2%	0.4%	1.2%	0.7%	0.7%	–	–	–	–	–	–	–	–	–	–
EBT	168.4	499.0	(16.8)	269.1	263.6	240.9	756.8	261.9	409.4	460.7	542.6	1,674.6	513.4	693.2	732.7	770.5	2,709.7	3,362.7	3,848.7	4,406.6	5,047.2	5,783.0
Income tax expense	90.4	73.5	(7.1)	86.6	91.9	98.2	269.6	100.9	96.9	93.7	117.6	409.1	107.8	145.6	153.9	161.8	569.0	706.2	808.2	925.4	1,059.9	1,214.4
Effective tax rate (%)	53.7%	14.7%	42.3%	32.2%	34.9%	40.8%	35.6%	38.5%	23.7%	20.3%	21.7%	24.4%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%
Net Income	78.0	425.5	(9.7)	182.5	171.7	142.7	487.2	161.0	312.5	367.0	425.0	1,265.5	405.6	547.6	578.8	608.7	2,140.7	2,656.6	3,040.5	3,481.2	3,987.3	4,568.5
EPS ($) - Basic	$0.21	$1.12	($0.03)	$0.49	$0.46	$0.38	$1.29	$0.42	$0.82	$0.96	$1.11	$3.32	$1.06	$1.43	$1.51	$1.59	$5.60	$6.94	$7.95	$9.10	$10.42	$11.94
EPS ($) - Diluted	$0.21	$1.10	($0.03)	$0.47	$0.45	$0.37	$1.26	$0.41	$0.80	$0.94	$1.09	$3.24	$1.04	$1.40	$1.48	$1.55	$5.48	$6.78	$7.76	$8.89	$10.18	$11.66
Shares Out - Basic	376.7	380.1	379.1	374.7	375.2	376.6	376.4	380.8	381.5	382.0	382.5	381.7	382.6	382.6	382.6	382.6	382.6	382.6	382.6	382.6	382.6	382.6
Shares Out - Diluted	378.2	386.2	379.1	384.5	384.3	386.5	386.3	390.1	389.8	390.9	391.7	390.7	391.8	391.8	391.8	391.8	391.8	391.8	391.8	391.8	391.8	391.8
Working Capital																						
Current Assets:																						
Accounts receivable	1,888.8	2,185.2	2,097.1	2,218.8	2,328.5	2,362.7	2,362.7	2,310.5	2,831.0	2,810.7	3,109.0	3,109.0	2,927.4	3,858.8	3,929.6	4,076.8	4,076.8	4,460.0	5,046.9	5,745.1	6,525.2	7,414.6
DSO	121.1	116.2	116.4	103.4	103.3	92.6	107.9	102.1	97.6	96.6	99.2	110.9	100.0	100.0	100.0	100.0	110.2	100.0	100.0	100.0	100.0	100.0
Inventory	822.0	884.3	987.1	1,102.7	1,255.2	1,244.4	1,244.4	1,383.5	1,413.3	1,437.1	1,456.5	1,456.5	1,580.8	1,931.3	1,988.4	1,875.3	1,875.3	1,953.5	2,216.6	2,516.4	2,858.0	3,247.6
% net revenue	14.4%	12.0%	60.2%	56.2%	60.5%	53.0%	15.5%	67.9%	53.5%	53.7%	50.5%	14.2%	60.0%	55.0%	55.0%	50.0%	13.9%	12.0%	12.0%	12.0%	12.0%	12.0%
Current assets	2,710.8	3,069.5	3,084.2	3,322.5	3,583.7	3,607.1	3,607.1	3,694.0	4,244.3	4,247.8	4,565.5	4,565.5	4,508.2	5,790.1	5,918.0	5,952.1	5,952.1	6,413.5	7,263.5	8,261.5	9,383.3	10,662.2
Current Liabilities:																						
Accounts payable	984.0	986.4	983.7	1,098.2	1,230.7	1,316.4	1,316.4	1,407.1	1,605.1	1,718.9	1,756.4	1,756.4	1,580.8	2,106.9	2,169.2	2,250.4	2,250.4	2,441.9	2,770.7	3,145.5	3,572.6	4,059.5
% net revenue	17.3%	14.4%	60.0%	56.2%	59.8%	56.1%	16.4%	69.1%	60.8%	64.2%	60.9%	17.2%	60.0%	60.0%	60.0%	60.0%	16.7%	15.0%	15.0%	15.0%	15.0%	15.0%
Accrued expenses	872.4	1,250.7	1,276.8	1,485.4	1,610.9	1,675.9	1,675.9	1,619.3	1,835.8	1,813.3	2,186.1	2,186.1	2,107.7	2,808.2	2,530.7	2,625.4	2,625.4	3,255.8	3,694.3	4,194.0	4,765.4	5,412.7
% net revenue	15.3%	18.2%	77.9%	76.2%	79.0%	71.4%	20.9%	80.0%	69.5%	67.7%	89.7%	25.1%	80.0%	80.0%	70.0%	70.0%	19.4%	20.0%	20.0%	20.0%	20.0%	20.0%
Current liabilities	1,856.4	2,237.1	2,260.5	2,587.6	2,879.6	2,992.3	2,992.3	3,026.4	3,440.9	3,532.2	4,942.7	4,942.7	4,688.5	4,916.1	4,699.9	4,875.8	4,875.8	5,697.7	6,465.1	7,339.4	8,338.0	9,472.2
NWC	854.4	832.4	823.7	734.9	704.1	614.8	614.8	667.6	803.4	715.6	322.8	322.8	819.7	874.0	1,218.2	1,076.3	1,076.3	715.8	798.4	922.1	1,047.3	1,190.0
Change in NWC		(22.0)	(8.7)	(88.8)	(30.8)	(89.3)	–	42.8	145.8	(87.8)	(492.8)	–	596.9	54.3	344.2	(141.9)	–	(360.4)	82.6	123.7	125.2	142.7
UFCF																						
EBIT	168.4	499.0	(16.8)	269.1	263.6	240.9	756.8	261.9	409.4	460.7	542.6	1,674.6	513.4	693.2	732.7	770.5	2,709.7	3,362.7	3,848.7	4,406.6	5,047.2	5,783.0
(-) Taxes	35.4	104.8	(3.5)	56.5	55.4	50.6	158.9	55.0	86.0	96.7	113.9	351.7	107.8	145.6	153.9	161.8	569.0	706.2	808.2	925.4	1,059.9	1,214.4
NOPAT	133.0	394.2	(13.3)	212.6	208.2	190.3	597.9	206.9	323.4	364.0	428.7	1,322.9	405.6	547.6	578.8	608.7	2,140.7	2,656.6	3,040.5	3,481.2	3,987.3	4,568.5
(+) D&A	86.6	89.7	22.7	22.6	23.6	23.9	92.8	25.6	26.4	27.2	29.0	108.2	26.3	35.1	36.2	37.5	135.1	162.8	184.7	209.7	238.2	270.6
(+) Amortization of intangibles	215.8	181.3	46.0	45.8	45.3	47.1	184.2	46.0	46.9	48.2	59.3	200.4	52.7	70.2	72.3	75.0	270.2	325.6	369.4	419.4	476.3	541.3
(-) Change in NWC		(22.0)	(8.7)	(88.8)	(30.8)	(89.3)	–	42.8	145.8	(87.8)	(492.8)	–	596.9	54.3	344.2	(141.9)	–	(360.4)	82.6	123.7	125.2	142.7
(-) Capis	(100.0

TAM Analysis

Vertiv Holdings (NYSE: VRT) (Long)

Total Addressable Market (TAM) Analysis

Comment

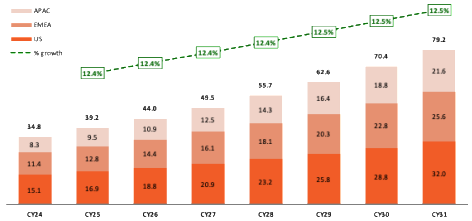
Assumptions

Market Size Inputs	
US DCPI 2025 ($B)	15.1
US DCPI (2031 target)	32.0
US DCPI CAGR	11.3%
Cooling Systems	
Cooling % of DCPI (2025)	36%
Cooling % of DCPI (2031 target)	37%
Cooling Δ/yr	0.1%
Electrical Systems	
Electrical Systems % of DCPI (2025)	30%
Electrical Systems % of DCPI (2031 target)	31%
Electrical Systems Δ/yr	0.2%
EMEA Market Inputs	
EMEA DCPI 2025 ($B)	8.3
EMEA DCPI (2031 target)	21.6
EMEA DCPI CAGR	14.6%
EMEA Cooling & E-Systems % (2025)	73%
EMEA Cooling & E-Systems % (2031 Target)	76%
EMEA Cooling & E-Systems Δ/yr	0.5%
APAC Market Inputs	
APAC DCPI 2025 ($B)	11.4
APAC DCPI (2031 target)	25.6
APAC DCPI CAGR	12.3%
APAC Cooling and E-Systems % (2025)	90.0%
APAC Cooling and E-Systems % (2031 targe	91.0%
APAC Cooling and E-Systems Δ/yr	0.2%
Vertiv Inputs	
Vertiv Revenue 2024 ($B)	8.0
Vertiv Revenue 2030 ($B)	30.6
Vertiv Revenue CAGR	21.1%
Vertiv DCPI Wallet Share	17%
Market Share Growth	
Annual Market Share Gain (pp)	0.5%
Max Market Share Cap	55.0%

Category Mix	
Category	**% of TAM**
Power	38%
Cooling	33%
Racks	12%
DCIM	7%
Services	10%
Total (check=100%)	100.00%

Geographic Mix	
Region	**% of TAM**
North America (US)	42%
Asia-Pacific	32%
EMEA	23%
LatAm	3%
Total (check=100%)	100%

TAM by Region ($B)



TAM by Region ($B)

$ in Billions USD	CY24	CY25	CY26	CY27	CY28	CY29	CY30	CY31	CAGR
US & EMEA									
US DCPI ($B)	**15.1**	**16.9**	**18.8**	**20.9**	**23.2**	**25.8**	**28.8**	**32.0**	***13.3%***
% growth		*11.3%*	*11.3%*	*11.3%*	*11.3%*	*11.3%*	*11.3%*	*11.3%*	
US Cooling									
Cooling % of US DCPI	36.0%	36.1%	36.3%	36.4%	36.5%	36.7%	36.8%	36.9%	
US Cooling ($B)	**5.5**	**6.1**	**6.8**	**7.6**	**8.5**	**9.5**	**10.6**	**11.8**	***13.8%***
% growth		*11.7%*	*11.7%*	*11.7%*	*11.7%*	*11.7%*	*11.7%*	*11.7%*	
US Electrical Systems									
Electrical Systems % of US DCPI	30.0%	30.2%	30.3%	30.5%	30.7%	30.8%	31.0%	31.2%	
US Electrical Systems ($B)	**4.5**	**5.1**	**5.7**	**6.4**	**7.1**	**8.0**	**8.9**	**10.0**	***14.0%***
% growth		*11.9%*	*11.9%*	*11.9%*	*11.9%*	*11.9%*	*11.9%*	*11.9%*	
EMEA DCPI ($B)	**8.3**	**9.5**	**10.9**	**12.5**	**14.3**	**16.4**	**18.8**	**21.6**	***17.3%***
% growth		*14.6%*	*14.6%*	*14.6%*	*14.6%*	*14.6%*	*14.6%*	*14.6%*	
EMEA Cooling & Electrical Systems									
Cooling & Electrical Systems EMEA market share %	73.0%	73.5%	74.0%	74.5%	75.0%	75.5%	76.0%	76.5%	
EMEA Cooling & Electrical Systems ($B)	**6.1**	**7.0**	**8.1**	**9.3**	**10.8**	**12.4**	**14.3**	**16.5**	***18.2%***
% growth		*15.4%*	*15.4%*	*15.4%*	*15.4%*	*15.4%*	*15.4%*	*15.4%*	
APAC DCPI	**11.4**	**12.8**	**14.4**	**16.1**	**18.1**	**20.3**	**22.8**	**25.6**	***14.4%***
% growth		*12.3%*	*12.3%*	*12.3%*	*12.3%*	*12.3%*	*12.3%*	*12.3%*	
APAC Cooling & Electrical Systems									
Cooling & Electrical Systems APAC market share %	90.0%	90.2%	90.3%	90.5%	90.7%	90.8%	91.0%	91.2%	
APAC Cooling & Electrical Systems ($B)	**10.3**	**11.5**	**13.0**	**14.6**	**16.4**	**18.5**	**20.8**	**23.3**	***14.7%***
% growth		*12.5%*	*12.5%*	*12.5%*	*12.5%*	*12.5%*	*12.5%*	*12.5%*	
Total Cooling & Electrical Systems TAM									
Base Combined TAM ($B)	**34.8**	**39.2**	**44.0**	**49.5**	**55.7**	**62.6**	**70.4**	**79.2**	***14.7%***
% growth		*12.4%*	*12.4%*	*12.4%*	*12.4%*	*12.5%*	*12.5%*	*12.5%*	
Vertiv Base Mkt Share 2024 (calc)									
Vertiv									
Vertiv Market Share %	23.0%	32.5%	35.0%	37.5%	40.0%	42.5%	45.0%	38.6%	
Vertiv Revenue TAM	**8.0**	**12.7**	**15.4**	**18.6**	**22.3**	**26.6**	**31.7**	**30.6**	***25.0%***
% growth		*58.9%*	*21.1%*	*20.5%*	*19.9%*	*19.5%*	*19.1%*	*-3.4%*	

Vertiv Holdings (NYSE: VRT) (Long)

WACC

numbers in millions USD

x **WACC**

WACC

% of Equity	*97.3%*
Risk Free Rate	*4.1%*
Beta	1.43
Market Risk Premium	*5.5%*
% of Debt	*2.7%*
Cost of Debt	*5.5%*
Tax Rate	*21.0%*
Total	106,238
WACC:	***11.7%***

Capital Structure

Equity	103,325
Debt	2,913
Cash & Cash Equivalents	1,728

Comps Table

General Information					Multiples			Beta			
Company Name	Ticker	EQV	EV	FDSO	EV/EBIT	EV/EBIDTA	P/E	β	Debt	D/E (%)	Unlev. β
Vertiv Holdings A	**VRT**	**103,325**	**3,941**	**393**	**55.1x**	**47.4x**	**79.2x**	**2.24**	**2,913**	***2.8%***	**2.19**
EnerSys	ENS	5,966	1,916	38	13.8x	11.2x	20.0x	1.19	1,179	*19.8%*	1.03
AAON	AAON	7,379	895	83	53.4x	34.6x	69.9x	1.40	398	*5.4%*	1.35
Forgent Power Solutions A	FPS	10,819	375	378				2.45	--	--	2.45
Schneider Electric	SU	171,438	28,421	570	25.8x	20.8x	35.7x	1.25	--	--	1.25
Legrand	LR	42,807	8,567	263	20.9x	17.4x	30.5x	1.02	7,247	*16.9%*	0.90
ABB	ABBN	161,762	16,087	1,825	29.9x	26.0x	33.9x	1.07	8,304	*5.1%*	1.03
Johnson Ctr Int	JCI	81,980	12,927	616	29.1x	23.0x	25.2x	1.11	9,705	*11.8%*	1.02
Median					**29.1x**	**23.0x**	**33.9x**				**1.14**
Average					**32.6x**	**25.8x**	**42.1x**				**1.40**

Vertiv Levered Beta:	**1.43**

Appendix

Risks and Mitigants

VERTIV

	Risk	Mitigant
High Valuation	VRT trades at a **significant premium** to peers, embedding **AI growth expectations**, so any misses or macro slowdowns compress the multiple.	VRT has **pure-play exposure** to the strongest CapEx cycle in decades. 100% of VRT's revenue benefits from AI infrastructure rollout, while **recurring revenue** supports the multiple over time.
Customer Concentration	Growth is dependent on CapEx decisions by **hyperscalers**, so pullbacks or pauses from even **one** meaningfully impacts VRT's revenue trajectory.	Hyperscaler guidance remains at **all-time highs**, collectively committing **$320B+** in CapEx for 2025. IaaS model also **diversifies** VRT's revenue beyond equipment purchases.
Supply Chain Complexity	VRT's systems rely on **global supply chains** for each part. Disruptions from tariffs, semiconductor shortages, logistical bottlenecks, etc. can delay delivery.	VRT has been **reshoring** and **regionalizing** its supply chain, adding **Caterpillar** and **Generate Capital** to simplify on-site power supply and reduce sourcing complexity.
Cooling Competition	Liquid cooling is becoming the **dominant paradigm**, and new entrants are intensifying competition. Margins in **cooling** specifically could compress through commoditization.	VRT's moat as an **integrated system** means no new entrants offer power, cooling, AND controls. Switching also incurs high **costs**.

Vertiv Product Architecture

End-to-end Vertiv Product Infrastructure

Critical Power

1. **Uninterrupted Power Supply (UPS)**
   Converts unstable utility power into stable electricity for servers while providing battery backup.

2. **Power Distribution Units (PDUs)**
   Distribute electricity from UPS to individual servers and equipment. They break large incoming power into smaller and manageable circuits.

3. **Busway Systems**
   A set of overhead power rails installed above server rows that distribute electricity. Alternative to bundles of cables.

Thermal Management

Direct-to-Chip Cooling
Cold plates are attached to GPU, where coolant liquid absorbs heat and carries it to a CDU, which cools and redistributes liquid.

Immersion Cooling
Servers are submerged in a non-conductive liquid that absorbs heat from components.

Air Cooling (CRAC/CRAH)
Traditional cooling systems that help circulate chilled air through servers and racks.

Illustration of Parts and Process

1

2

3

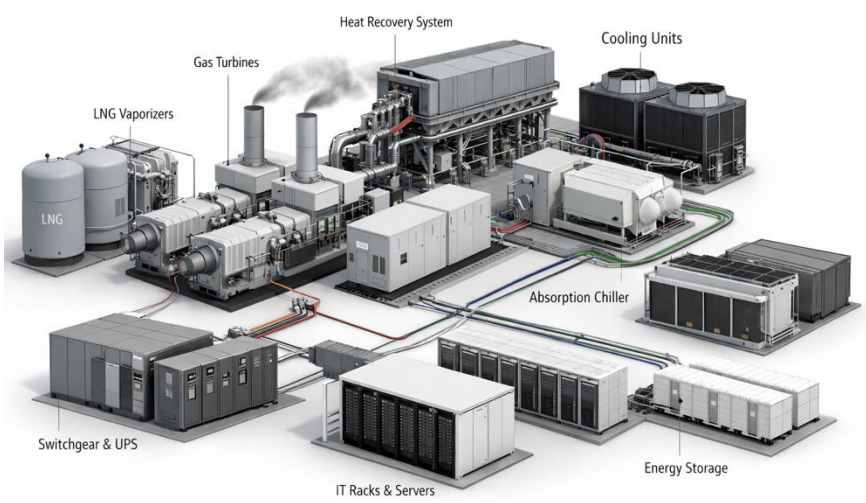
Process

- Power enters from the utility grid and passes through the **UPS**, which converts it into clean, stable electricity and provides battery backup. It is then distributed through **PDUs and busway systems to servers**, while **cooling systems remove heat to keep equipment operating safely**.

BYOP&C System Architecture

Vertiv has been positioning itself as an end-to-end infrastructure partner

On-site Power Generation and Cooling



Power

On-site generation using **LNG turbines**, **diesel engines**, or **fuel cells**, deployed **behind-the-meter (BTM)**. Enables rapid deployment without waiting on grid access and provides **resilient power** in constrained or unreliable regions.

Cooling

Liquid and air cooling, **modular chillers**, and **thermal storage**. Supports **high-density racks** and enables fast, flexible deployment across climates.

Integration

Prefabricated modules (e.g. Vertiv Power Module, Dynamic Power) for **plug-and-play deployment**. Cuts lead times and simplifies site expansion.

Control

Vertiv's real-time **monitoring and load orchestration** software. Optimizes performance, lowers PUE, and supports **grid-to-off-grid transitions**.

Modular On-Site Infrastructure: Delivered in pre-engineered containerized blocks (e.g. 5–20 MW per unit)

Behind-the-Meter Power (BTM): BTM setup allows immediate deployment resiliency, & grid optionality

Integrated Cooling Stack: Delivered in modular form, matched to the power block

Orchestration & Control Layer: Monitors and manages load balancing, resilience, and efficiency across power + cooling

Financing + Delivery Ecosystem: Third-party ownership or leasing, lower CapEx burden for customer, faster project approvals

Detailed Partnership Mechanics

	Ballard Power Systems	Generate Capital	Caterpillar
Agreement	In June 2024 Vertiv announced a tech partnership with Ballard to integrate hydrogen fuel cells into data-center UPS/microgrid systems.	Strategic collaboration in which Generate and Vertiv retain their independence while contributing complementary capabilities.	Vertiv and Caterpillar (with its subsidiarySolar Turbines) signed an MOU on Nov18, 2025 to co-develop *pre-engineered* on-site energy solutions.
Roles	In these systems **Vertiv** would handle system integration (fuel-cell modules plus cooling/storage), and **Ballard** supplies the hydrogen power modules.	Generate provides the upfront capital to fund the deployment of Vertiv's integrated power/cooling systems and assumes full ownership and operational responsibility for assets.	**Caterpillar/Solar** supply the on-site generation equipment (natural-gas reciprocating engines and medium gas turbines) while **Vertiv** supplies the power distribution/cooling systems.
Mechanics	Vertiv demonstrated a "Power Module H2" solution (at its Delaware CEC) using two 200 kW Ballard fuel-cell cabinets + Vertiv UPS + BESS. This POC shows how on-site green H_2 can power data centers with zero GHG backup, fitting the BYOP model. The Ballard deal targets North America and EMEA explicitly.	The structure is akin to an energy-as-a-service model: the customer does not purchase the equipment but pays for usage or capacity through long-term contracts. Generate acts as the asset owner and utility-like operator, while Vertiv functions as the technology provider and systems integrator.	This is an **equipment collaboration**, not a financing program. Customers (data centers) would procure the integrated solution; Caterpillar may offer financing/leases via its finance arm. The joint architectures accelerate deployment (time-to-power) and improve efficiency (lower PUE) under shared service agreements.

Annotated Stock Chart

Global Data Center Buildout Pipeline

VERTIV

US and MEA Data Capacities

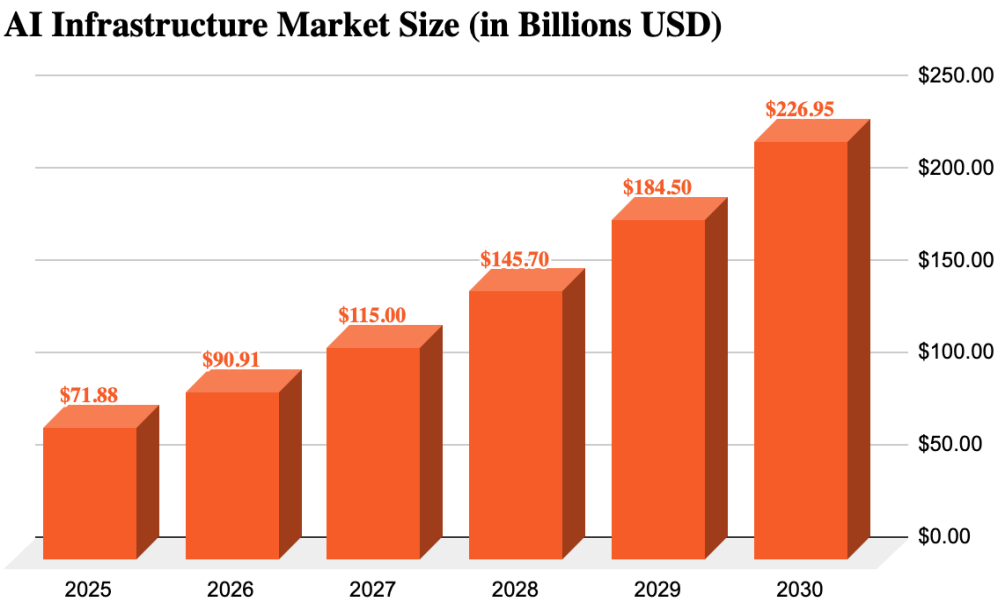
1. US data center capacity is expected to roughly double by 2030, rising from about 200–220 TWh in 2023 to around 450–500 TWh. Much of this capacity is concentrated in hubs like Northern Virginia, Dallas, and Phoenix, where power constraints and substation lead times are becoming the obstacle to further expansion.

2. Europe's data center capacity is currently around 80–100 TWh annually and is projected to triple to 250–300 TWh by 2030, mirroring the sharp power demand growth seen in the US. While North America is expected to retain roughly half of global capacity, Europe's share grows as AI infrastructure spreads to new hubs in Madrid, Milan, and Dublin.

Key Hyperscaler Investors

Meta Google aws Microsoft Azure

Hyperscalers Capital Expenditures

Hyperscaler capex is expected to climb above $600B in 2026, doubling last year's spending. Within that spend, a majority is now tied to AI-related data centers, GPUs/accelerators, and supporting networks, with traditional non-AI cloud and office IT shrinking as a share of total capex.

Projected Growth to 2030